

The Claremont City Council held a meeting on Wednesday, February 14, 2018, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

At-Large Councilor Claire Lessard
Ward I Councilor Andrew O'Hearne
Ward III Councilor Jonathan Stone
Assistant Mayor Allen Damren
Mayor Charlene Lovett
At-Large Councilor Jeremy Zullo
At-Large Councilor Abigail Kier
At-Large Councilor Nicholas Koloski

Absent:

Ward II Councilor Scott Pope

Also present:

Ryan McNutt, City Manager

AGENDA CHANGES

Mayor Lovett said there will be a discussion on the Motion to Change Classification of a Portion of Half Mile Road from Class V to Class VI and there will be a public hearing, but there would be no vote. Ward II Councilor Pope is not able to be here and he wants to participate in this discussion.

REPORT OF THE SECRETARY

A motion was made by Ms. Kier and seconded by Mr. Stone to accept the minutes of the January 3, 2018, City Council meeting.

Voice vote: motion carried 8-0.

A motion was made by Mr. Koloski and seconded by Mr. O'Hearne to accept the minutes of the January 6, 2018, City Council meeting.

Voice vote: motion carried 8-0.

A motion was made by Mr. Damren and seconded by Ms. Lessard to accept the minutes of the January 10, 2018, City Council meeting.

Mr. Zullo said on page 6 it says they are replacing an excavator with an excavator, but they are replacing a backhoe with an excavator. [Note: This discussion took place at the January 24, 2018, Council meeting. Assistant Public Works Director Victor St. Pierre confirmed that the sewer jetter and sewer backhoe are being replaced by a sewer jetter and sewer excavator. The correction has been made to the January 24th minutes.]

Voice vote: motion carried 8-0.

A motion was made by Ms. Kier and seconded by Mr. Damren to accept the minutes of the January 24, 2018, City Council meeting.

Voice vote: motion carried 8-0.

A motion was made by Mr. O’Hearne and seconded by Ms. Lessard to accept the minutes of the January 30, 2018, City Council meeting.

Mayor Lovett said on page 3, 3rd paragraph under Ceremonial Signing of SB247, 2013/14 should be 2015/16.

Mayor Lovett said on page 3, 2nd paragraph under Establishing Community-wide Priorities for 2018 to add to the 2nd sentence at the end that the overall rating for the City is a “C.”

Voice vote: motion carried 8-0.

MAYOR’S NOTES

- Pancake breakfast and Cardboard Sled Race this Saturday, February 17, at Arrowhead
 - o Ms. Kier said Arrowhead is looking for help creating trophies for the event.
- HB413 relative to payment by the state of a portion of retirement system contributions of political subdivision employers (reestablish 15% subsidy). Recommendation from the Decennial Committee was to reinstate a portion. House killed the bill on January 9. Motion to reconsider the bill failed by one vote.
- Received information from NH Department of Environmental Services regarding the state’s effort to create a water conservation management plan for the state. There will be a meeting on this on February 21. Information will be given to the City Manager and the Conservation Commission. Claremont area is not the focus. They will look at the Sugar River in the future.
- February is Black History Month. The racial healing working group is putting on a showing of *Raisin in the Sun* on February 25, 2 p.m., in the Claremont Opera House. A retired professor will speak before the show. It will be an educational and entertaining event. Free-will donations will be accepted.

CITY MANAGER'S REPORT

State Legislative

The City, working with our state delegation, submitted language that was crafted into House Bill 1607. HB 1607 - Sponsored by Representative Raymond Gagnon, Relative to the appointment of a receiver for properties which are a threat to health and safety was introduced 01/03/2018 and referred to Commerce and Consumer Affairs.

Mayor Lovett and I attended the public hearing and spoke to the merits of the bill. Further work is needed to make a minor amendment to the language of the bill to gain support of the banking lobby.

Opportunity Zone Program

The newly created Opportunity Zone Program is designed to drive long-term capital to distressed communities by providing tax benefits on investments in Opportunity Funds, or "O Funds". This concept is the first new community development tax incentive program introduced since the 1990s.

Claremont is eligible and the City Administration is working with Governor Sununu's Administration to be able to apply. Stay-tuned more information will be forthcoming.

Winter DPW

We have sent in the labor and materials data to the FEMA "Fall Event – 2017" reimbursement process. We are signed-up to their Federal Portal and the FEMA Representative have 60-days to schedule their review. Looks like we are on track, but updates will be provided as the process moves along.

We had a serious water line break on Friday February 9th at 2:30pm. The issue was repaired and DPW crews moved on to storm operations. It was a very long weekend for the DPW crews and we want to acknowledge how hard they work and what true professionals they are – even Bill Belichick would be impressed!

I will have updated percentages on where we are at with DPW over-time and winter maintenance figures at the meeting on the 14th.

Councilors commented on several of the department reports including the 5th year anniversary of the Claremont Savings Bank Community Center.

APPOINTMENT TO BOARDS AND COMMITTEES

Claremont Community Television, Inc. (CCTV) Board of Directors

A motion was made by Mr. Damren and seconded by Mr. O’Hearne to appoint Allan Berggren to seat 4 of the Claremont Community Television, Inc. (CCTV) Board of Directors.

Voice vote: motion carried 8-0.

Historic District Commission

A motion was made by Ms. Kier and seconded by Mr. Stone to re-appoint Kristin Kenniston to seat 1 of the Historic District Commission.

Voice vote: motion carried 8-0.

CITIZEN’S FORUM

Alec Currier, musician who plays at Time-Out Americana Grill, serenaded the Council with a song, *Everything I Do*, by Bryan Adams.

Steve Raymond, Ward 1, said sometime last year he asked about putting up a caution light on Chestnut Street where you cross from the community center toward the park (on Chestnut Street where the old railroad tracks were). Also last year he brought pictures in about dangerous trees on Chestnut Street, but he hasn’t heard anything yet. He said he went to Public Works, but was told the limbs were too close to the power lines. He thinks money should be put in the budget for trimming trees.

OLD BUSINESS

Ordinance 559 Establish Maple Avenue School Zones – Second Reading – Public Hearing

The purpose of this proposed change is to establish school zones for speed limit purposes. All school zones are within 1000 feet of a primary or secondary school and have been identified as zones needing reduced speed limits during opening and closing school time periods.

Enactment of this Ordinance will revise Chapter 19, Traffic and Motor Vehicles by adding provisions to establish posted school zones to reduce speed limits at the beginning and end of the school day.

Police Chief Mark Chase said there have been complaints about traffic around the schools. This ordinance designates the school zones, which hadn’t been done before. This will drop the speed limit by 10 mph to 20 mph around the schools before the start and end of the school day. He

reminded the Councilors that the ordinance presented at the last meeting has a typo (duplicate street names) which has been corrected.

A motion was made by Mr. Koloski and seconded by Mr. Damren to adopt Ordinance 559 Establish Maple Avenue School Zones

Mr. Koloski read the explanation of proposed action into the record.

Mayor Lovett questioned the 20 mph speed limit on Broad Street. Chief Chase it has been that way for as long as he can recall. State law does allow cities and towns to change the speed limit.

Mr. O'Hearne asked about the 20 mph sign on Summer Street by Middle Street.

Chief Chase will do further research into the designation of Broad Street.

Chief Chase will work with Public Works to get the streets posted.

Mr. O'Hearne asked about moving the flashing light at Sims Street. Chief Chase will not support that; it is where it should be.

Mayor Lovett opened the public hearing.

Steve Raymond, Ward 1, said he supports anything for the kids. He hopes something can be done on Chestnut Street to slow the traffic.

Voice vote: motion carried 8-0.

Mayor Lovett asked about drug free zones. Chief Chase said according to the state RSAs, it is 1,000 feet around the schools and they are posted.

NEW BUSINESS

Audit Report

Robert Vachon and Tammy Webb, Vachon Clukay & Company PC, showed a PowerPoint presentation, City of Claremont, New Hampshire, Review of Audited Financial Statements as of and for the Year Ended June 30, 2017.

- Independent Auditor's Report
 - The City received an Unmodified Opinion on its financial statements for all of its reporting units as of and for the year ended June 30, 2017
- General Fund Budget and Actual Comparison
 - Total revenues and other financing sources exceeded budgeted estimates by \$1 million

- During the fiscal year, the River Road TIF Fund was closed and the unexpended balance of \$1.3 million was transferred to the General Fund
 - Total expenditures and other financing uses were \$890,000 less than the appropriated amount
 - City's ending fund balance is approximately \$1.9 million higher than originally budgeted
- Budgetary Fund Balance
 - Nonspendable \$1,181,359
 - Assigned \$1,034,401
 - Unassigned \$3,790,987
 - The City's fund balance policy is to strive to maintain an unassigned fund balance equal to 5-15% of the budgeted General Fund operating expenditures each fiscal year
- Water Fund
 - Increase in water rates effective January 1, 2017
 - Revenues increased in FY17 by \$132,600 to \$1.7 million
 - Net loss decreased from (\$247,000) in FY16 to (\$140,000) in FY17
- Net Pension Liability
 - The City's estimated share of the net pension liability is based on the total retirement contributions paid into the plan as a percentage of ALL retirement contributions from NH municipalities during the fiscal year
 - The City's percentage increased slightly (.0006%) from the previous year. The City's net pension liability increased by \$3.9 million to \$15.1 million
 - The pension liability is estimated using several actuarial assumptions such as inflation, wage inflation, salary increases and the investment rate of return
 - The most significant assumption used in the investment rate which decreased from 7.75% in FY15 to 7.25% in FY16
 - Because of the significance of the investment rate on the pension liability figure, there is a required disclosure to indicate the City's proportionate share of the net pension liability as follows:
 - Current rate (7.25%) = \$15,079,984
 - 1% decrease (6.25%) = \$19,375,752
 - 1% increase (8.25%) = \$11,516,496
- Federal Compliance Audit
 - There were no deficiencies or weakness identified and no findings or questioned costs to report
 - The City received an Unmodified Opinion on its Federal Compliance Audit
- Future Pronouncements
 - GASB #75 – Accounting and Financial Reporting for Postemployment Benefits Other Than Pension
 - The City will be required to report its estimated share of the NH Retirement System's medical subsidy liability
- Governance Communication
 - Audit conducted in accordance with generally accepted auditing standards
 - No unusual issues were discussed prior to their retention as auditors

- o No separate management letter issued

Mr. Vachon noted the City will see changes in audits for the next three years.

Resolution 2018-22 Capital Reserve from Sale of City-Owned Property – Public Hearing

WHEREAS, the city wishes to effectively manage code enforcement within the city; and

WHEREAS, the sale of city owned property is an unanticipated revenue for the City resulting in unanticipated revenue that would drop into fund balance; and

WHEREAS, implementation of this plan will result in funding the enforcement and/or costs related to legal action required;

NOW THEREFORE BE IT RESOLVED that, pursuant to RSA 34:1-a, the City of Claremont hereby establishes a reserve fund to be known as the Non-Capital Reserve Fund for Code Enforcement for the enforcement and/or legal action required to enforce codes within the City of Claremont; and

BE IT FURTHER RESOLVED that the City Manager or his designees will cause the proceeds of any monies received from the sale of city owned land and/or land with improvements to be deposited into said expendable reserve fund for the purpose of enforcing codes within the City of Claremont and named as agents to expend said funds.

A motion was made by Ms. Kier and seconded by Mr. Zullo to adopt Resolution 2018-22 Capital Reserve from Sale of City-Owned Property.

Ms. Kier read the resolution into the record.

Mr. Koloski asked if in the future this will be capped. Mr. McNutt said the City needs at least two years to understand the scope of the activity. Probably at the front end of the this there may be more activity than later on. It could fluctuate. He'll let the fund build up for a while and probably cap it at \$500,000.

Mr. Koloski asked if this would include the JSL or the church. Ms. Walter said it would be for tax-deeded properties. Mr. Koloski said the resolution is not clear on that.

Mr. Damren asked if the money from tax-deeded properties should go back to taxpayers. Ms. Walter said tax-deeded properties have to be written off the expenses. The money can be taken in and put on fund balance, but the City Manager said there are a lot of properties that need to be cleaned up. If that money can be set aside for cleanup, that would be a good use for that money.

Mr. Damren asked if the cleanup line item will be lowered. Ms. Walter said there hasn't been a lot of these properties.

Mr. McNutt used as an example 36 Sugar River Drive. It was a blighted, abandoned, burned-out house. It was sold at auction and the owner knocked it down. Now there is a pile of debris that needs to be cleaned up. The City has dozens of properties like this. This account will be used to cleanup blighted properties.

Mayor Lovett asked about using fees from code enforcement. Ms. Walter said the code enforcement fees are offsetting revenues for the salaries of those people. This is for cleaning up negligent landlord properties.

A motion was made by Mayor Lovett and seconded by Mr. Damren to refer this resolution to the Finance Committee and then send it back to the Council.

Mr. Koloski said the way this resolution is written doesn't give a future Council the option of how this is spent.

Voice vote: motion carried 8-0.

Mr. Zullo volunteered to be on the Finance Ad Hoc Committee. Mayor Lovett said the next meeting will be Tuesday, February 20, 6:30 p.m. at the CSB Community Center.

Motion to Change Classification of a Portion of Half Mile Road from Class V to Class VI
– Public Hearing

Mayor Lovett said there would be a public hearing to take comments and to incorporate that information into the next meeting. No vote to be taken tonight.

A motion was made by Mr. Damren and seconded by Mr. Zullo that the Claremont City Council, after a public hearing duly noticed, hereby determines that there is necessity for the occasion of reclassifying a portion of Half Mile Road from a Class V highway to a Class VI highway, commencing at a point on Half Mile Road approximately two-hundred and seventy-five feet (275 feet) west of Plains Road, westerly to the intersection of Half Mile Road with Route 12-A (Jarvis Hill Road). This reclassification is subject to private rights of access to property not otherwise accessible from a public highway, as well as to all existing public and private utility licenses, permits and easements.

The City Council hereby authorizes the City Manager or his designees to execute all documents and undertake all actions as may be required to implement this motion.

Mr. O'Hearne asked why only a portion of the road and not the whole road. Chief Chase said there is one driveway on the road. The closure would be after that driveway up to Plains Road.

Mr. Koloski asked how it would be closed (i.e. gate, signage). He said he didn't see tremendous cost savings if closed. He talked about increased illegal activities and trash dumping if it were to be closed.

Mr. McNutt said it would be closed by a locked gate which would prevent people from going into the area and dumping trash.

At 8:03 p.m. Mayor Lovett opened the public hearing.

Paul LaCasse, Ward 2, said he is not in favor of closing the road. He said it is used by many residents. If closed, ATVers and snowmobilers would still go down the road. He said there is a couple hundred acres of conservation land that wouldn't be usable if the road is changed to a Class VI road, because you can't build on Class VI roads.

James Petrin, Ward 2, lives on that road and has no problem closing the road. He said that 75% of the land on both sides of the road belongs to his family and they have no problem closing the road.

Mr. Koloski would like to know about the cost of the proposed gate and where the money would come from and what the potential savings would be.

Mr. Zullo asked what steps had been taken to stop people from dumping trash in that area. Chief Chase said game cameras have been set up and then they disappeared. Mounds of dirt were put up to stop people from going in, but they go over it or around it. The Police haven't been able to do long-term surveillance because the dumping is done at random times.

Mr. Koloski said with the road being closed, it would create a party spot.

Mr. McNutt said a locked gate would be installed and the Fire Department will have keys to the lock(s).

Mr. LaCasse, Ward 2, said this road offers access when other roads are closed due to downed trees and icy roads.

A motion was made by Mr. O'Hearne and seconded by Mr. Stone to table the motion to Change Classification of a Portion of Half Mile Road from Class V to Class VI to February 28, 2018.

Roll call vote:

Lessard - yes

O'Hearne - yes

Stone - yes

Damren - yes

Zullo - yes

Kier - yes

Koloski - yes

Lovett - yes

Motion carried 8-0.

Resolution 2018-23 NHDES Drinking Water Asset Management Planning Grant – Public Hearing

WHEREAS, improvement to the public water system by updating its asset management plan is in the public interest to protect the public health and welfare of the citizens of Claremont; and

WHEREAS, the City intends to apply for a grant of up to \$20,000 from the New Hampshire Department of Environmental services, Drinking Water & Groundwater Bureau, with a \$20,000 match of labor from the Water Department operating budget, for engineering, GIS and programs to manage the Water Distribution infrastructure; and

WHEREAS, the City desires to submit an application for said grant, and if awarded, to accept and expend the funds.

NOW, THEREFORE BE IT RESOLVED THAT the City Council hereby authorizes the City Manager, or his designees, to take such actions as may be necessary to apply to the NHDES for a grant of up to \$20,000; and

BE IT FURTHER RESOLVED that in the event the City is awarded this grant, the City Council hereby accepts the grant in the amount of up to \$20,000; and

BE IT FURTHER RESOLVED THAT to raise, appropriate and expend the sum of up to \$20,000 from account # 90-490-202-0000, Water Department (from off-setting revenue, to have no impact on the water rates); and

BE IT FURTHER RESOLVED that the City Manager or his designees are hereby authorized to execute all documents and undertake all actions as may be required to implement this resolution.

A motion was made by Mr. Damren and seconded by Mr. Koloski to adopt Resolution 2018-23 NHDES Drinking Water Asset Management Planning Grant.

Mr. Damren read the resolution into the record.

Victor St. Pierre, Assistant Public Works Director, said this is mapping where the valves are and the age of the pipes.

Mayor Lovett opened the public hearing. No one spoke. She closed it.

Roll call vote:

Lessard - yes

O'Hearne - yes

Stone - yes

Damren - yes

Zullo - yes

Kier - yes

Koloski - yes

Lovett – yes

Motion carried 8-0.

Water and Sewer Rates

Mr. St. Pierre said the water rates were increased January 1, 2017, and those rates are working. Revenues have increased and the net loss was decreased from (\$247,000) to (\$140,000) per year. He expects the FY2018 rates will be at the breakeven point. He talked about the Main Street Project and getting 10% forgiveness. This year with the higher rate, we will get higher forgiveness.

Mayor Lovett said according to the Code, the rates should be reviewed annually and should cover the operating costs and existing debts. Mr. St. Pierre said the next increase will cover those, but the City also wants to have \$2 million saved to cover a major catastrophe.

Mayor Lovett said the ordinance needs to be sent to the Policy Committee to be reworked because it doesn't say what the City is trying to achieve.

Mr. Koloski asked about the decrease in flat-rate users. Mr. St. Pierre said the City is actively trying to get those users on a meter in order to use the leak detection program as it is meant to be used.

Mr. St. Pierre said the water fees are on target and no change is recommended. He said sewer rates were increased 2011-2015 and are now holding steady.

Mayor Lovett questioned the sewer cash balance of \$3 million and whether or not the rates should be readjusted. Mr. St. Pierre said expenditures have been moved out a year (i.e. Main Street Project). Also, the City must meet the requirements for a new permit and that will be large expense. So, the City thinks it is where it should be.

Mayor Lovett would like to see these two ordinances have standardized language and give the public the opportunity to weigh in on how the rates are affecting them. She would like to have it happen at the end of March/early April which would give it time to go to the Policy Committee.

Councilors agreed that these ordinances will go to the Policy Committee.

COMMITTEE REPORTS

None

FUTURE AGENDA ITEMS AND DIRECTIVES

Mr. Damren would like the Council to weigh in, in broad terms, about budget aspirations/thoughts for the upcoming budget season. He thinks there should be public discussion of important items the Council would like to see in a budget before it receives a

proposal from the City Manager. For example, he considers it very important to have money in the budget for roads.

Mayor Lovett asked Mr. McNutt when would be a good date. Mr. McNutt said he put out guidance to the departments to have two budgets (what is needed and level funded). Those will be given to him by March 28 and then he'll craft the budget, so the first meeting in March would be a good time to have this discussion.

Mr. Koloski would like a presentation on the new airport hangar. He said he has a lot of questions that he wants to make known. Mr. McNutt said he is meeting with the engineer next week, so March would be a better time to discuss this.

Mayor Lovett said legal counsel has offered free training to update the Council on changes to laws. It was suggested this be a stand-alone training and to invite the land use board members. She will send out an email to Councilors tomorrow regarding dates for the training. There will be a non-meeting to cover conflict of interest training on February 28th, starting at 5:30 p.m. The regular Council meeting will start no later than 7 p.m.

Mayor Lovett said the Council Tour had been cancelled due to the weather and she asked Mr. McNutt to reschedule it.

Mayor Lovett talked about an unfortunate death of an 18-year old due to fire. She asked if on-call firefighters are getting the right training and if there are any budgetary concerns.

Mr. Damren said the search process has started for the River Valley Community College president. He said he and Lucille Jordan are co-chairs on that committee.

Mayor Lovett asked Councilors what information they wanted on their business cards and to let Ms. Russell know.

Mayor Lovett said a free business course, *Starting or Growing Your Business*, was starting and people should call John Ingemi at (603)300-0276 for more information.

CONSULTATION WITH LEGAL COUNSEL

None

NON-PUBLIC SESSION PURSUANT TO RSA 91-A:3,II(a) – PERSONNEL REVIEW

At 8:59 p.m., a motion was made by Mr. Damren and seconded by Mr. Stone to go into the Non-Public Session pursuant to RSA 91-A:3,II(a) – Personnel Review and to invite Mr. McNutt into the session.

Roll call vote:

Lessard - yes

O'Hearne - yes

Stone - yes
Damren - yes
Zullo - yes
Kier - yes
Koloski - yes
Lovett – yes
Motion carried 8-0.

Councilors finalized Mr. McNutt's evaluation and signed the document.

At 9:15 p.m. a motion was made by Mr. Damren and seconded by Mr. Stone to exit the Non-Public Session.

Roll call vote:
Lessard - yes
O'Hearne - yes
Stone - yes
Damren - yes
Zullo - yes
Kier - yes
Koloski - yes
Lovett – yes
Motion carried 8-0.

ADJOURNMENT

At 9:16 p.m., a motion was made by Mr. Damren and seconded by Ms. Kier to adjourn.

Voice vote: motion carried 8-0.

Non-public minutes recorded by Mayor Lovett.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council